

that merited increases will come without having to be demanded. Salaries are at least in line with the standard of the industry and the locality. Management will bring outsiders into anything other than starting jobs only if there is no possibility of finding anyone within the organization who can be promoted to fill the position. Top management will recognize that wherever human beings work together, some degree of factionalism and human friction will occur, but will not tolerate those who do not cooperate in team play so that such friction and factionalism is kept to an irreducible minimum. Much of this the investor can usually learn without too much direct questioning by chatting about the company with a few executives scattered at different levels of responsibility. The further a corporation departs from these standards, the less likely it is to be a really outstanding investment.

POINT 9. Does the company have depth to its management?

A small corporation can do extremely well and, if other factors are right, provide a magnificent investment for a number of years under really able one-man management. However, all humans are finite, so even for smaller companies the investor should have some idea of what can be done to prevent corporate disaster if the key man should no longer be available. Nowadays this investment risk with an otherwise outstanding small company is not as great as it seems, in view of the recent tendency of big companies with plenty of management talent to buy up outstanding smaller units.

However, companies worthy of investment interest are those that will continue to grow. Sooner or later a company will reach a size where it just will not be able to take advantage of further opportunities unless it starts developing executive talent in some depth. This point will vary between companies, depending on the industry in which they are engaged and the skill of the one-man management. It usually occurs when annual sales totals reach a point somewhere between fifteen and forty million dollars. Having the right executive climate, as discussed in Point 8, becomes of major investment significance at this time.

Those matters discussed in Point 8 are, of course, needed for development of proper management in depth. But such management will not develop unless